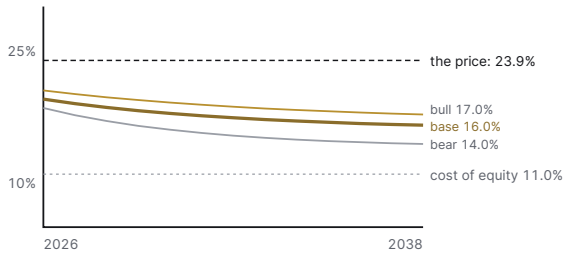
EQUITY VALUATION · FINANCIALS · GS · 13 OCTOBER 2026

Goldman Sachs (GS) — Built for Bull Markets, Priced for a Permanent One

Goldman Sachs earned 22.4% on its tangible equity in the first nine months of 2026, a return beaten only by 2021 in the fifteen years of the series, and it is built for markets like this one. Among the five big US trading banks it has had the largest share of advisory fees every year since 2015 and has won share in equities since 2017, including in two of the three down years since 2018; its trading and investment-banking revenue moves about 1.2 times as much as theirs, and this year it kept 53 cents of pre-tax profit from each extra dollar of revenue. Keep that franchise, return the market to its trend and add the 2028 capital step, and Goldman earns about 16%, five points above its cost of equity; most of the rest of this year's return is a market running a quarter above trend. At $892, 2.6 times tangible book on the 13 October close, the shares need more than this year's market, forever, at an 11% cost of equity. Fair value $602 a share, 32.5% below the last trade; the proponent's own best case $796.

TON618 CAPITAL RESEARCH · AS OF 13 OCTOBER 2026



The fade, and the line the price draws.

Goldman earns about 22% on tangible equity this year. At $892 the shares need about 24% for good. Keep the franchise, return the market to its trend, and Goldman earns about 16%, the middle of its own target.

HISTORY · PRINT · PRICE · FRANCHISE AND BETA · PARTS · CAPITAL · DIGITAL

On Tuesday 13 October Goldman Sachs reported net revenues of $18.7 billion, its second-highest quarter, earnings of $17.01 a share against a consensus of $13.05, and an annualized return on tangible common equity of 20.5%. Advisory fees, equities financing and asset-management fees all set records, and the firm raised its full-year alternatives fundraising expectation to about $150 billion from a plan of $75–100 billion. The shares opened 3% higher and closed slightly down, at $891.91. Asked whether the returns were cyclical or structural, the chief executive said both: "We're in a top quartile environment," which, he said, flatters the average return through the cycle, but "structurally" the firm's base returns "have been meaningfully uplifted over the last five years." This note is about how much of each.

THE QUESTIONS

What this note answers

1. **How did Goldman get here, and where is it going?** From partnership to bank, the consumer detour, the Investor Day scorecard, the landscape as five forces, and management's plan.

2. **What did the quarter and the call say?** What 13 October showed, the risks in management's own words, and what went unraised.
3. **What return does the price require?** The perpetual return implied by 2.6 times book, against the fifteen-year record and the firm's own target.
4. **Franchise and beta.** What the segment tables and the five big US trading banks' filings show about Goldman's position, and what it earns when the market is normal.
5. **What is it worth?** An excess-return model on tangible book, gliding from a start set below this year's return to where §4 says it rests; the proponent's and the skeptic's cases on their own inputs; and the line the market draws through the large banks.
6. **Do the parts agree with the whole?** Each segment priced on its own terms, reconciled to the consolidated value and to the market.
7. **Can the capital pay for it, and are the deposits a risk?** The buffer, a requirement that rises in 2028, a slowing buyback, and the sector's underpaid-deposit argument.
8. **What is the digital-asset strategy?** The rails, the consortium coin, and what tokenization could do to the financing business.
9. **What would change our view?** Dated, observable conditions in both directions.

$602

FAIR VALUE PER SHARE, PROBABILITY-WEIGHTED (BEAR $515 / BASE $609 / BULL $678); 1.76× TANGIBLE BOOK; 32.5% BELOW THE LAST TRADE OF $891.91

The read. At $892 Goldman must earn about **24%** on tangible equity for good: 23.9% in steady state at an 11.0% cost of equity (21.3% at 10%, 26.5% at 12%). It has averaged 11.4% over fifteen years and 14.6% in the five completed years since its 2020 Investor Day, against a 15–17% through-the-cycle target. The franchise is real, and the five big US trading banks' filings measure it: Goldman has had the largest share of their advisory fees every year since 2015, 33% this year, and its share of their trading revenue has risen from 16.9% in 2017 to 24.2%; in equities it has led the five since 2021. Keep that position, return the market to its 2015–25 trend — it is running 25% above it — let Goldman's revenue give back what its sensitivity to the market predicts, take costs out at the year's own incremental margin and add the 2028 capital step: Goldman earns about **16%**, five points above its cost of equity. The base case rests there and is worth $609, $602 weighted. Most of the rest of this year's 22.4% is the market — about 5.4 points, against 0.3 for incentive fees above their average and 0.6 for the capital step: the five banks' trading and investment-banking revenue rose 24% this year, and Goldman's, which moves about 1.2 times as much, rose 34%. The price needs more than that, forever. This year's market held for good gives about 21%; the price needs the market **37% above its trend forever**, with Goldman moving with it as it has, or a 35% share of a normal market against about 25% today. On a proponent's own inputs, about 19% forever at a 10.7% cost of equity, the same model gives **$796**, still 11% below the price. The peer line pays about the price at this quarter's 20.5% return ($920) and $663 at 16%; priced separately, the parts come to $650 a share.

23.9%

Return on tangible equity the price requires in perpetuity at an 11.0% cost of equity; 24.9% as the resting level on the house glide

24.8%

Goldman's share of the five big US trading banks' combined trading and investment-banking revenue in 2026 to date, the highest in the series, from 21.5% in 2015 and 18.7% in 2017; 33% of their advisory fees

16.1%

Return on tangible equity with that position kept, less the give-back its market sensitivity predicts, and the market back at its 2015–25 trend, after the 2028 capital step; 16.9% with no give-back, 13.9% at Goldman's eleven-year average share, 12.0% at its 2017 low

+37%

How far above its trend the five banks' trading and investment-banking revenue must stay, forever, for the price's 23.9%, with Goldman's revenue moving with it as it has; it is 25% above in 2026

Terms used throughout, defined once. ROTCE / ROTE: return on tangible common equity, net income to common shareholders over equity less preferred stock, goodwill and intangibles; the return the firm earns on the capital it holds. Goldman reports it on monthly-average equity ("ROTE"); the fifteen-year history here uses year-end averages. **TBV:** tangible book value, that same capital; $341.43 a share at 30 September. **P/TBV:** price over tangible book. **Cost of equity (CoE):** the return shareholders require; built here as the ten-year Treasury plus

the stock's beta times an equity risk premium. **Excess return:** ROTCE minus the cost of equity, earned on tangible book; a firm earning exactly its cost of equity is worth book. **Terminal:** the level a quantity settles at after the explicit forecast; the **fade** or **glide** is its path there. **FICC:** Fixed Income, Currency and Commodities — the trading business in interest-rate products, credit, mortgages, currencies and commodities; with **Equities**, it makes up the markets business inside Global Banking & Markets. **Intermediation:** market-making in FICC and equities — buying and selling for clients, earning spreads and commissions and managing the risk held in between. **Financing:** lending to markets clients against collateral — repo, structured and mortgage lending in FICC; prime brokerage and portfolio financing in Equities. **Durable revenues:** Goldman's own term for its financing and fee lines (§4). **GBM / AWM / PS:** the three segments — Global Banking & Markets, Asset & Wealth Management, Platform Solutions (the Apple Card, being transferred to another issuer). **CET1:** common equity tier 1 ratio, core capital over risk-weighted assets; Goldman's requirement is 11.4% and management runs 50–100 basis points above it. **SLR:** supplementary leverage ratio, capital over total exposure without risk weights. **G-SIB surcharge:** the extra capital a global systemically important bank must hold, 3.5% for Goldman now. **The five-bank pool:** the combined trading and investment-banking fee revenue of Goldman, JPMorgan, Morgan Stanley, Bank of America and Citigroup (§4). **Advisory / underwriting:** the two halves of investment-banking fees — fees for advice on mergers and other transactions, and fees for selling clients' new shares and bonds.

THE OTHER SIDE, FIRST

The case for the price

The strongest case that $892 is right, in the terms its proponents would use.

1. **The uplift is structural, and the record proves it.** Since the 2020 Investor Day revenue is up roughly 60% (the shareholder letter's figure, about 8% a year; 11% a year since 2022 on the chief executive's count), durable revenues have doubled, historical principal investments have been cut from $64 billion to $6 billion, and the stress capital buffer has fallen 320 basis points. The new regime's trough year, 2023, with about $3 billion of consumer and principal-investment losses inside it, still earned 8%, a level the old regime fell below in three of its ten years. A model that fades the return toward a fifteen-year mean that includes 2011, 2015 and 2017 is averaging two different firms.
2. **Financing is a growth business with a cycle, not a cyclical business.** FICC and Equities financing have grown from $2.5 billion a quarter to $4.6 billion in two years and are now more than 40% of markets revenue. The growth in tradable assets, prime balances and Asia, where demand "continues to exceed available industry capacity", is secular. Spreading the firm's average costs over these lines, as this note does, understates their margin: they use balance sheet and risk appetite, not headcount.
3. **Asset & Wealth Management is an asset manager inside a bank multiple.** Record management fees of $3.6 billion a quarter on $4.1 trillion of supervised assets, 35 straight quarters of long-term inflows, wealth inflows running at 12% a year against a 5% target, $150 billion of alternatives fundraising against a $75–100 billion plan, targets of a 17–19% return and a 30% pre-tax margin — and a return on its own attributed equity of 14.4% in the nine months, above the cost of equity. BlackRock trades at about 25 times trailing GAAP earnings. Goldman's fee earnings deserve that multiple, and a bank-style excess-return model cannot express it.
4. **The compensation ratio has reset.** 29.6% of revenue this year (30% on the company's net-of-provisions basis), against 31–34% in 2022–25 (30% in the 2020–21 boom) and 37% a decade ago, because the growth is in balance-sheet and platform businesses that do not scale headcount. Operating leverage is the structural reason returns stay above the old band.
5. **Nearly all earnings are being returned, and the buyback shrinks the count.** The firm paid out 96% of nine-month earnings to common shareholders, and basic shares fell from 307 million to 296 million in nine months, so earnings per share compound faster than earnings.
6. **The cost of equity is lower than 11.0%.** The Blume-adjusted beta gives 10.7%; the JPMorgan valuation uses 10.5%; a 4% equity risk premium rather than 4.8% gives 10.1%. At the lowest of these the return the price requires falls toward 21%, and the proponent's case comes within a few percent of the price.
7. **Goldman is taking share, and share compounds.** Its part of the five big US trading banks' trading and investment-banking revenue has risen from 18.7% in 2017 to 24.8%, the highest in the series. In equities it has led the five since 2021 and gained share in two of the three years that market shrank since 2018. A firm that keeps winning share does not revert to its old mean; it moves the mean.

> **Of these, this note tests** (1) in §3 and §4, where the fifteen-year, post-2020 and best-year returns are laid against the target and the requirement, and the base case rests at the band's midpoint, set by the peer test in §4; (2) in §4, where the durable lines' stability and contribution are computed from the segment tables, with the allocation run both ways; (3) in §6, where AWM is priced at 13–19 times fee earnings and each multiple's implied perpetual growth is printed; (4) in §2 and §5, where the compensation ratio is reported and sensitized; (5) in §7, where the payout the model needs is reconciled to the buyback and the capital requirement's path; and (6) in §3 and §5, where the cost of equity is built and every result is shown on a grid, with the proponent's case at the Blume beta; and (7) in §4, where the share gain is measured against the five-bank pool, split into what the cycle explains and what it does not, and the base case holds the 2026 share rather than reverting it. **It cannot test** whether 2026's top-quartile environment is the new normal, which only the next several years can settle; whether the share gains continue; or the durable lines' true margin, which the firm does not publish.

HOW IT GOT HERE

How Goldman got here, and where it says it is going

23 consecutive years as the #1 M&A adviser, by the firm's own count; $1.6tn advised in 2025, more than $250bn ahead of the closest peer

From partnership to bank. Founded in 1869 and a partnership until its 1999 listing, Goldman became a bank holding company on Sunday 21 September 2008, approved together with Morgan Stanley so that both could reach the Federal Reserve's window. It has spent the years since deciding what kind of bank to be. It built a consumer deposit base under the Marcus name, then retreated from consumer lending: the GreenSky and Marcus loan books were sold from 2023, the General Motors card in 2025, and in December 2025 the Apple Card was agreed for transfer to another issuer, a two-year transition the firm says "will substantially complete the narrowing" of that focus. Assets went from $1.1 trillion at the end of 2008, as later recast, to $1.8 trillion at the end of 2025 and $2.2 trillion now. The 1MDB settlements of 2020 left an asset-recovery guarantee to Malaysia that is still in arbitration.

The scorecard. The 2020 Investor Day set the targets the firm measures itself against, and the 2025 shareholder letter keeps the score: earnings per share from $21.03 in 2019 to $51.32 in 2025, book value per share from $218.52 to $357.60, return on equity from 10.0% to 15.0%, total shareholder return of 341% since 2019. The letter restates the through-the-cycle targets and the intention "in the near term, [to] exceed them — though I know our journey will not be a straight line."

The landscape, as five forces.

- **Rivalry.** Advice is the one place where share behaves like a moat: #1 in M&A for 23 consecutive years on the firm's count, $1.6 trillion advised in 2025, more than $250 billion ahead of the next adviser, and, by its own account, $5 billion more advisory revenue than the #2 since 2020. On the five big US trading banks' own filings it has had the largest share of their advisory fees every year since 2015 (§4). In markets the rivals are JPMorgan, Morgan Stanley, Citigroup and Bank of America; on June tangible book, Goldman trades at 2.6 times and Morgan Stanley at 3.5. In wealth, Morgan Stanley is the mirror image, with wealth revenues of $31.8 billion at a 29% margin in 2025 on $10 trillion of client assets, against Goldman's $2.1 trillion in an ultra-high-net-worth market it calls "very, very fragmented" with "no big leader". The listed alternative managers — Blackstone, KKR, Apollo, BlackRock — compete with it in private credit and are its clients in prime financing.
- **Buyers.** Hedge funds and sponsors on one side, corporates on the other. Equities financing demand in Asia "continues to exceed available industry capacity", in a market the chief financial officer calls "supply-of-financing constrained", so pricing power sits with the firm for now; sponsors, "slow to monetize" their 2020–21 vintages, hold the option to wait.
- **Suppliers.** Talent, at a 30% compensation ratio and "a very, very strong bid for the very, very best people"; and capital, priced by the Federal Reserve — a requirement that rises from 11.4% to 11.9% in 2028 and possibly 12.4% from 2029, and a leverage ratio that caps how much financing the balance sheet can carry.

- **Substitutes.** Private credit for bank lending, which Goldman answers by raising it itself (about $150 billion of alternatives this year); the private investment-grade market and the hyperscalers' own cash for public debt in AI financing; electronification, which it absorbed in equities.
- **Entrants.** The new rails — tokenization, agentic trading, decentralized-finance vaults, prediction markets — which management treats as an expansion of its market rather than a threat (§8).

Where management says it is going. Durable revenues at about 45% of the total as the base. Alternatives fundraising of $75–100 billion a year "on a sustainable basis" (about $150 billion in 2026), $750 billion of alternatives under supervision by 2030 and $300 billion of credit alternatives by the end of 2028. Asset & Wealth Management to a 17–19% return and a 30% pre-tax margin within three to five years of 2025, on fee and private-banking revenue that has compounded 12% a year since 2021, with wealth inflows of 5% a year (12% now). AI-infrastructure financing — "north of $10 trillion of investment through 2032" — as the next cycle, which the firm intends to advise, originate, distribute and fund from public and private pools. Asia, now 20% of revenue from 13% a year ago. One Goldman Sachs 3.0, which the letter calls "our new operating model propelled by AI". Consumer finance out. And the growth it does not promise, as transcribed: "I do not believe we're going to grow our revenues by 11% compounded on the top line for the next five years." The house reads the plan as a franchise built for active markets: its position is durable, and its trading and investment-banking revenue still moves with the market, more than its peers' does. §3 to §6 price both.

THE PRINT AND THE CALL

What the quarter and the call said

30% the compensation ratio for the nine months, net of provisions — management's "best estimate at the moment" for the full year; about 31.8% in 2025 on the same basis (32.4% before provisions), 37% a decade ago

What the quarter said.

1. Equities financing (a record, +96%) and advisory (a record, +18%) carried a 30% earnings beat. FICC intermediation fell 7% and the backlog ended the quarter lower than it began, though "our backlog remains very robust" and "there's an enormous amount of dialogue that continues".
2. Sequential financing growth slowed. The finance chief put it at about 3%, which matches the release's equities financing line (FICC financing fell 1%, the two together rose about 2%), and tied the slowdown to deleveraging in the quarter and the market backdrop; year on year, equities financing was up 96%.
3. The $368 million provision reflected portfolio growth and impairments on "a couple of different names", which the chief financial officer called "highly idiosyncratic", adding that it is not "necessarily the signal of something else to come"; 85% of gross loans are secured.
4. The compensation ratio is 30% and management intends to hold it — "our best estimate at the moment for what we expect for the year" — with no "diminution in terms of the market for talent. Frankly, quite the opposite."
5. CET1 fell to 12.4%, the top of the 50–100 basis-point buffer, as risk-weighted assets grew $26 billion; the buyback slowed for a second quarter ($5.0, $4.0, $3.0 billion) while the dividend rose 25%.
6. Alternatives fundraising guidance rose from $75–100 billion to about $150 billion for the year: "there's nothing opportunistic about it". Incentive fees of $587 million came from clients' "early access to a high-growth investment opportunity", recognized "following the company's IPO", and are expected to "remain elevated in the fourth quarter" — the event-driven component §4 returns to its average.
7. The environment, in management's words, has gone from "top decile" in May and June to "a top quartile environment" now — "that's still really, really good".

Where management puts the risk, in its own words. The shareholder letter: "we know from history that nothing is linear over time … concerns about private credit, including underwriting quality or exposure to software companies that may be adversely affected by AI, are a reminder that the credit cycle has not been repealed." The call put geopolitics first: the Middle East, energy flows, inflation, bond yields, and a Federal Reserve that hiked for the first time in three years, with

markets "pricing in approximately 75 basis points of additional tightening in this cycle across the U.S., U.K., and Europe". On AI financing, the cycle the firm puts first, the chief executive gave the most hedged answer of the morning — "I don't know and nobody knows … There is risk to pressure on … crowding out" — then affirmed the demand: "there's a lot of demand for compute at the moment. The supply is not coming to balance. More is going to get built, more financing is going to be necessary. There will be a point in time when this recalibrates, resets for sure."

What went unraised. Neither management nor the analysts took up the securities book and its marks, deposit betas, lending to nonbank financial institutions (other collateralized loans, $113 billion of the $276 billion of loans; §7), the timing of the Apple Card transfer, or the run-down of the historical principal investments ($6.0 billion at year-end, from $64 billion).

The insiders. Officers and directors sold $149 million of stock in the open market over the last twelve months and bought none, almost all of it between January and May at about $920–980 a share, an average near $950 and roughly 2.8 times today's tangible book; six later sales, about $1 million, were at up to $1,150. It is stated here as a fact rather than a signal.

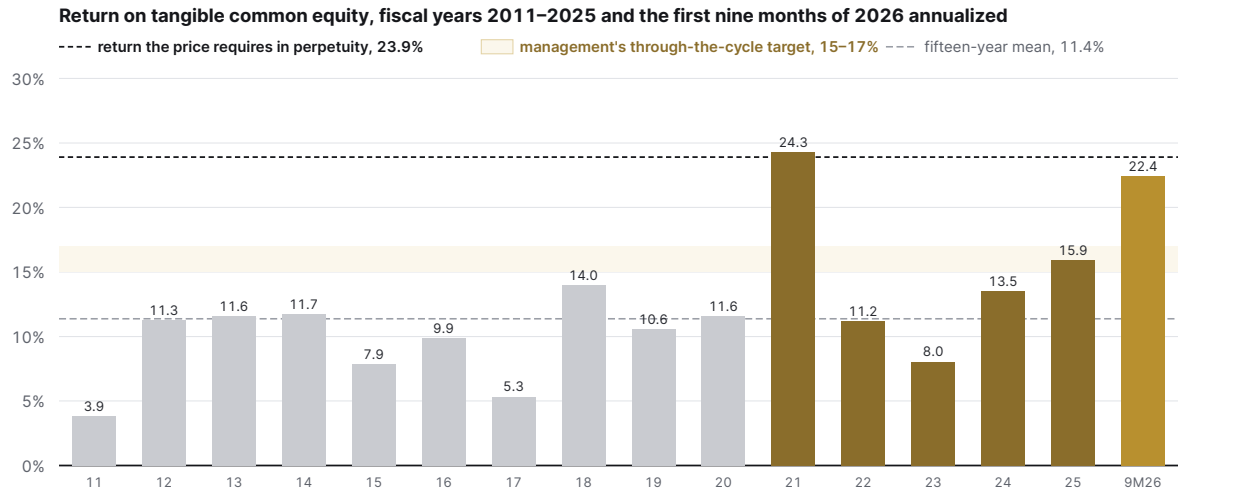
THE PRICE AND THE RECORD

The price and the record

23.9% the return on tangible equity the price requires in perpetuity, at an 11.0% cost of equity and 3% growth

The identity. The quarter showed what Goldman earns now; the price is a statement about what it earns forever. Price to tangible book is a statement about return: `P/TBV = (ROTCE − g) / (CoE − g)`. At $891.91 and $341.43 of tangible book a share the multiple is 2.61×. With growth at 3% and an 11.0% cost of equity (built below), that is a perpetual return of 23.9%; at 10% it is 21.3%, at 12% 26.5%.

EXHIBIT 1 — RETURN ON TANGIBLE COMMON EQUITY, 2011–2026, AGAINST THE TARGET, THE MEAN AND THE REQUIREMENT



Pale bars 2011–2020 (the decade before the 2020 Investor Day); dark gold 2021–2025; bright gold the 2026 run-rate. Company basis for 2026 (monthly-average equity); hou

How to read it. One bar per fiscal year from 2011 to 2025 plus the first nine months of 2026 annualized, in percent of average tangible common equity, read on the left scale. Pale bars are the decade before the 2020 Investor Day, dark gold the years since, bright gold 2026. The shaded band is management's through-the-cycle target of 15–17%; the grey dashed line is the fifteen-year mean; the black dashed line is the return the share price requires in perpetuity. Compare each bar with the three lines; the one thing it shows is that the requirement sits above every year but 2021, and above the band management set for itself.

The record. Over fifteen fiscal years (net income to common over average tangible common equity, from the SEC filings; Exhibit 1 shows each) the mean is 11.4% and the median 11.3%, against 22.4% for the first nine months of 2026 on the company's basis; 9.8% in the decade before the Investor Day, 14.6% in the five completed years since (15.9% with the 2026 run-rate). The 10-K target is "through-the-cycle … ROE within a range of 14% to 16% and ROTE within a range of 15% to 17%". The price needs about seven points more than the top of that range.

The cost of equity, in the open. Ten-year Treasury 5.22% (8 October); beta 1.21 on five years of weekly returns against the S&P 500 (262 weeks), 1.14 Blume-adjusted, 1.41 over the last two years; an equity risk premium of 4.8%, the house assumption for financials, shared with the JPMorgan valuation published alongside this one. CoE = 5.22% + 1.21 × 4.8% = **11.0%**; 10.7% on the Blume beta, 12.0% on the two-year. Two cross-checks: the line the market draws through twenty-one large banks (§5) values a bank at book when it earns 10.3%, the market's own cost of equity for the group (8.2% on the line through the banks alone); and the FDIC's all-bank return on equity has run 11–13% for five years. JPMorgan's five-year beta on the same method is 1.0, a 10.0% cost of equity, and its valuation uses 10.5%, rounded up from 10.3% on an adjusted two-year beta. Goldman's raw beta runs 0.2–0.3 above JPMorgan's in both windows, worth a point or more; the house takes half of that, because the two-year window that widens the gap most is the one most coloured by 2026. Every result is shown on a 10 / 11 / 12% grid.

The question. At an 11% cost of equity, the price needs more than this year's return, forever. Goldman has not earned that through a cycle — not over fifteen years (11.4%), nor in the five since the Investor Day (14.6%) — and its own through-the-cycle target, 15–17%, does not claim it. What the franchise earns when the market is normal, keeping what it has won, is §4's question, and §5 turns the answer into a value.

FRANCHISE AND BETA

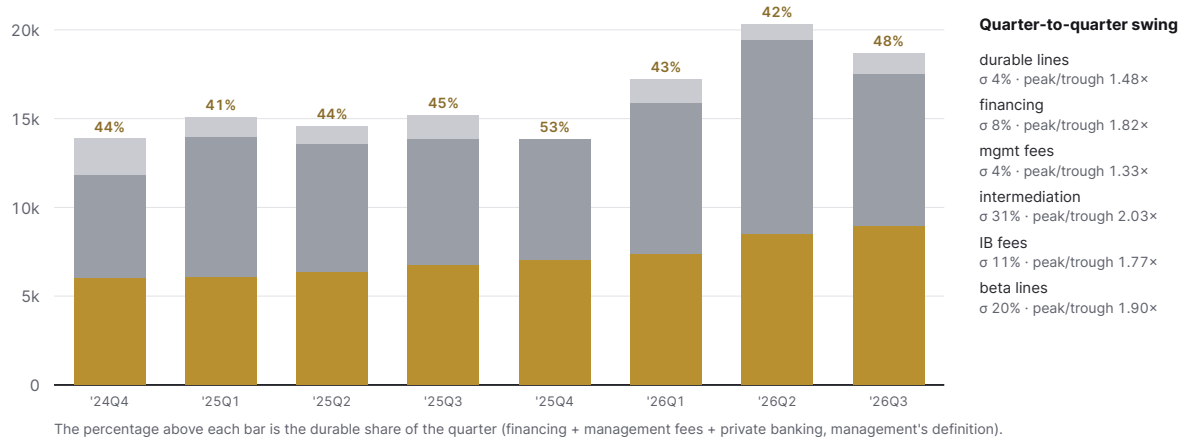
Franchise and beta: the segment tables, then the peers

16.1% the return on tangible equity with Goldman's 2026 position in the five big US trading banks' trading and investment-banking revenue kept, less the give-back its market sensitivity predicts, and that market back at its 2015–25 trend, after the 2028 capital step; 22.4% this year

Management's definition. The question §3 leaves is how much of this year's 22% would survive a normal market. Goldman's own answer is its durable revenues, which are, by the shareholder letter's footnote, FICC financing and Equities financing in Global Banking & Markets and Management and other fees and Private banking and lending in Asset & Wealth Management. On the call they have "more than doubled since 2020 Investor Day and now representing approximately 45% of revenues for the year to date". On the segment tables: $24.9 billion of $56.2 billion, 44.3%; 48.1% in the third quarter; 45.2% in 2025; 43.1% in 2023.

EXHIBIT 2 — EIGHT QUARTERS OF REVENUE: THE DURABLE LINES, THE BETA LINES, THE REST

Net revenues by line group, $m per quarter: durable lines (gold), intermediation + IB fees (grey), other (pale)



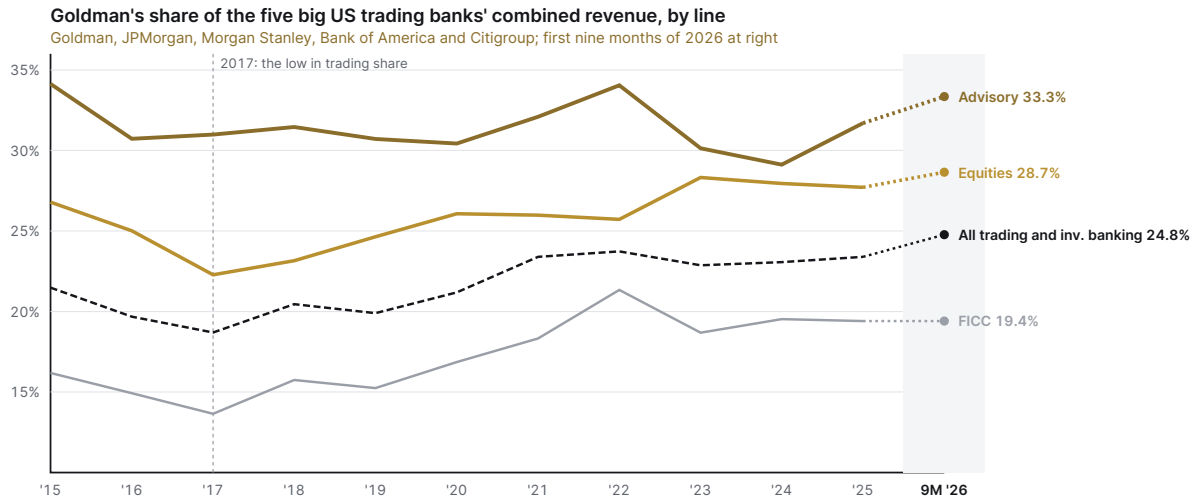
The percentage above each bar is the durable share of the quarter (financing + management fees + private banking, management's definition).

How to read it. One stacked bar per quarter from the fourth quarter of 2024 to the third of 2026, in millions of dollars of net revenue: gold is the durable lines on management's definition (financing, management and other fees, private banking and lending), grey is intermediation plus investment-banking fees, pale grey is everything else (incentive fees, investments, transaction banking, Platform Solutions). The percentage above each bar is the gold share. The side table gives each line group's quarter-to-quarter standard deviation and its peak-to-trough ratio over the window. Compare the heights of the gold segments across bars with the heights of the grey ones; the one thing it shows is that the gold grew every quarter while the grey swung by half.

Stability, and what the segment tables cannot see. The durable lines rose from $6.1 billion to $9.0 billion over the eight quarters, higher every quarter (quarter-to-quarter standard deviation 4%, peak to trough 1.48); intermediation and investment-banking fees ran from $5.8 billion to $10.9 billion and back to $8.6 billion (20%, 1.90). Financing, a balance-sheet business whose balances are clients' leverage, never fell in the window and grew 1.82 times, against swings of 2.03 times in intermediation alone; still, the chief executive: "when equity markets come down … there's a deleveraging … there's going to be some cyclicality to that." The durable lines are durable as a trend, not as a level. Spread the firm's nine-month costs evenly across revenue — 60.8% of revenue in costs and provisions, a 20.4% tax rate, $100.5 billion of average tangible equity — and the durable lines contribute **9.9 points** of the 22.4% return, intermediation and investment-banking fees 11.2, the rest 1.3. Run the proponent's way, with the fee lines at Asset & Wealth Management's 24% pre-tax margin and financing at 45–80%, they contribute 8.8 to 13.5 points, and financing would need about a 61% margin, against the 45% its segment reports in a record year, for them to reach the cost of equity alone. But the even split classes intermediation and advisory as the market because their revenue swings; it cannot say whether Goldman's position in those businesses is itself a franchise. That needs a comparison outside the firm.

The peers. The five big US trading banks — Goldman, JPMorgan, Morgan Stanley, Bank of America and Citigroup — report FICC, equities and investment-banking fees, with advisory and underwriting split. Eleven years of their 10-Ks and Citigroup's recast supplements, 2015–2025, and the first nine months of 2026 give Goldman's share of the combined pool by line; where a bank changed a definition, that year's change is measured on the old basis, and the few changes no filing bridges are listed in Sources and Method. Two numbers describe each line: its sensitivity, how much Goldman's revenue moves when the pool moves by one, and its drift, how much faster Goldman's revenue grows each year than the pool explains — share won or lost with the cycle taken out.

EXHIBIT 3 — GOLDMAN'S SHARE OF THE FIVE BIG US TRADING BANKS' REVENUE, BY LINE, 2015–2026



The five banks' combined trading and investment-banking revenue ran +25% against its 2015–25 trend in 2026 (−12% in 2023, +17% in 2021).
Goldman's 2015–16 trading figures are on its earlier segment basis; changes across that seam are measured on the old basis in the text.

How to read it. One line per business, in percent of the combined revenue of Goldman, JPMorgan, Morgan Stanley, Bank of America and Citigroup in that business, read on the left scale; one point per fiscal year from 2015 to 2025 and, in the shaded column, the first nine months of 2026. Dark gold is advisory fees, gold is equities, grey is FICC, the black dashed line is all trading and investment-banking fees together. The dashed vertical marks 2017, the low in trading share. Compare each line's level with its slope; the one thing it shows is that advisory holds a high, flat share while equities and FICC have climbed since 2017, and that equities and the total stand at their highs this year.

	2017	2025	2026 TO DATE	SENSITIVITY, 2018–25	DRIFT A YEAR, 2018–25	DRIFT A YEAR, 2016–25	SHARE ROSE IN DOWN YEARS, 2018–25 / 2016–25
Advisory	31.0%	31.7%	33.3%	1.13	−0.3% ± 2.2	−1.2% ± 2.0	1 of 4 / 1 of 5
Equities	22.3%	27.7%	28.7%	0.85	+3.9% ± 1.8	+1.0% ± 1.9	2 of 3 / 2 of 5
FICC	13.7%	19.4%	19.4%	1.15	+4.0% ± 4.0	−0.5% ± 4.2	2 of 3 / 2 of 4
Underwriting	19.0%	19.8%	22.5%	1.22	+0.0% ± 3.4	+0.2% ± 2.7	1 of 2 / 2 of 3
All trading and investment banking	18.7%	23.4%	24.8%	1.15	+1.9% ± 2.0	−0.2% ± 2.1	1 of 2 / 1 of 3

Advisory: a lead that holds, not one that widens. Goldman has had the largest advisory share of the five in every one of the eleven years, between 29.1% and 34.1%, against 21–27% for JPMorgan, the runner-up in every year but 2016. The lead has not widened: drift is nil in either window, and Goldman gave share back in four of the five years the advisory pool shrank, three of the four since 2018, 2022 the exception. The position is the franchise; the swings are the market's, amplified. Reputation is one plausible reason the position holds, and the firm's own material describes both sides of it. The chief executive told the July call that the trust behind its advice puts Goldman "in these discussions earlier and alone and without other banks", which he said lets it command more of the wallet; the 2025 shareholder letter counts more than 1.1 million experienced-hire applicants, an internship selection rate below 1% and more than 650 alumni in C-suite roles at companies worth over $1 billion or managers of over $5 billion, and adds that the firms people leave for often become important clients. The lead held at 30–32% of the pool through the 1MDB years, 2018–2020, though the settlements left an asset-recovery guarantee to Malaysia still in arbitration. None of this is a measured fee premium; it is a plausible reason for a measured lead.

Equities: share won, including when the market shrank. From 22.3% in 2017 to 28.7% this year; Goldman passed Morgan Stanley in 2021 and has led the five since. Since 2018 its equities revenue has grown about 4% a year faster than the pool explains, with a sensitivity below one — the steadiest drift of any line in that window, and nearly the largest, though with eight observations it falls short of conventional statistical significance, and from 2016 it is +1.0% ± 1.9. It gained share in 2019 and 2023, two of the three years the equities pool shrank since 2018, and lost it in 2016, 2017 and 2022, so two of five over the full window; a sensitivity below one itself predicts a small gain whenever the pool shrinks, so part of those down-year gains is that. It is the strongest evidence for the proponent's case that the uplift is

structural and that Goldman is taking share. Only Goldman and Morgan Stanley split equities revenue into financing — prime brokerage, securities lending, margin and portfolio financing for hedge funds and other investors — and trading. Against Morgan Stanley, Goldman's share gain since 2020 is all financing: its financing revenue grew 2.6 times from 2020 to 2025, against 1.7 times, while in trading, where it was already the larger of the two, it grew 1.3 times against 1.45. Financing was 46% of Goldman's equities revenue in the first half of 2026 (48% for the nine months), up from 28% in 2020. The gain reads two ways. Both banks financed the same market's leverage, and Goldman took its share of their equities financing from 38% to 50%, which is share won in the plain sense: the proponent's case that Goldman is taking share and that financing is a growth business, in a line management counts as durable. It is also a balance-sheet business that grows with clients' leverage, which management said in July it manages to the leverage ratio, with a limit to its appetite. Two banks over five years cannot separate that share from a higher sensitivity to clients' leverage.

GOLDMAN'S SHARE OF THE TWO BANKS'	2020	2025	FIRST HALF 2026
Equities financing	38%	48%	50%
Equities trading	57%	54%	55%
Financing as a share of Goldman's own equities revenue	28%	44%	46%

FICC, underwriting, and the start date. FICC share rose from 13.7% to 19.4%, with large swings either way. Underwriting moves 1.2 times its pool and shows no drift, though its share rose 3.4 points this year, more than any other line's. And the start date matters: Goldman lost trading share in 2016 and 2017, and measured from 2015 its decade gain is about what a book with its full-window sensitivity, 1.24, would show in a decade when that pool grew about 6% a year, with no drift at all. The franchise turned after 2017, the low in the exhibit; the table reads from there, and the full window is in Sources and Method.

This year. The five banks' trading and investment-banking revenue rose 24% in the first nine months; Goldman's rose 34%. Its sensitivity alone predicts 30%. The rest, about $1.0–1.6 billion of revenue, is growth the cycle does not explain — share won, on this measure, in equities and underwriting — worth 0.6–0.9 points of the 22.4% return at the year's incremental margin.

Keep the share, normalize the market. The pool's trend growth since 2015 is 5.1% a year; it ran 17% above trend in 2021 and 12% below in 2023, and it is 25% above in 2026. The question the price asks is what Goldman earns when the market is normal and it keeps what it has won. Hold Goldman's 2026 share, return the pool to trend, and let Goldman's revenue fall by its full-window sensitivity, 1.22 rather than the 1.15 measured since 2018, because the give-back belongs to the cycle and the longer window holds more of it (on 1.15 the return is 16.3%, which on the half-point rule would rest the base at 16.5%, $625 a share, and the weighted value at $610). Take costs out at the year's own incremental margin — pre-tax earnings rose 53 cents for each extra dollar of revenue this year, against 39 cents on this year's average — bring incentive fees back to their average, and add the 2028 surcharge step.

GOLDMAN'S SHARE OF A POOL AT ITS TREND	RETURN ON TANGIBLE EQUITY
Its 2026 share, about 25% on a full-year basis, held with no cyclical give-back	16.9%
Its 2026 share less the give-back its sensitivity predicts, about 24%	**16.1%**
Its 2015–25 average share, 21.6%, with a 4.5% surcharge	13.9%
Its 2017 low, 18.7%, with a 4.5% surcharge	12.0%

Even the 2017-low case earns more than the 11.0% cost of equity.

Two checks on the 16%. The 53 cents is an up-year figure. In 2022, the last sharp fall, costs barely moved: earnings before credit provisions fell 94 cents for each dollar of lost revenue, and the return dropped to 11.2%, so a fast reversal would cut deeper in its first year than the table shows, before costs adjust. And the two most recent years support the level only at its top: Goldman earned 13.5% in 2024, with the pool 4% below trend and a $1.0 billion pre-tax loss in the consumer business it is leaving, and 15.9% in 2025, with the pool 6% above. Both years had a share about two points below this year's full-year equivalent, 25.2%. Bridged to that share and a trend-level market, after the 2028 step, they give 15.0% to 15.7%, the higher figure for 2024 without its consumer loss, so the 16% base sits about half a point to a point above what they support; each point of resting return is worth about $32 a share (§5).

The test of the title. One Goldman Sachs 3.0, the operating model "propelled by AI" that the firm launched in 2025, starts with six workstreams — client onboarding and know-your-customer checks, vendor management, regulatory reporting, lending, enterprise risk management and sales enablement — and the 10-K says management expects it to "drive expense efficiencies and create capacity for future growth". On the house's reading, that bears directly on the 2022 problem, when operating expenses, which exclude credit provisions, fell 2.4% while revenue fell 20.2%. So far it shows up as capacity rather than cost: headcount was 47,500 at September against 48,300 a year earlier, while nine-month revenue rose 25%. In July the finance chief said, "I would not say that there's been any structural change in our expense base at this point"; in October he added that over time the firm should not carry the same degree of headcount-related expense to grow. Whether costs fall the next time both the market and Goldman's revenue shrink is the test of whether Goldman is built only for bull markets; §9 sets it.

The conclusion. The franchise is real — a durable lead in advice and share won in equities — and worth about five points of excess return when the market is normal, the middle of management's own target band. Of the other six and a third points of this year's 22.4%, about 5.4 are a market running a quarter above trend, which Goldman's revenue amplifies; the rest is incentive fees above their average and the 2028 capital step. The even split answered a narrower question; the peers answer the one the price asks. In their terms the price needs the pool 37% above its trend forever, with Goldman's revenue moving with it as it has, or a 35% share of a normal pool, against the series high of 24.8% now; held forever, even this year's market gives about 21%.

Why the base case rests at 16%. The base rests at that normalized return, rounded to the half point; the bull's 17.0% and the bear's 14.0% are the table's no-give-back and average-share rows rounded the same way, the bear with the higher surcharge. The proponent's 19%, which says most of this year's market or share gains beyond today's is permanent, and its mirror, the 2017-low case's 12.0%, which undoes every share gain of the last eight years, are the strongest version of each side, so both are run in §5 and neither is weighted: on its own preferred cost of equity, the two-year beta's 12.0%, the skeptic's case is worth $408 a share ($452 at 11.0%), against the proponent's $796.

THE FADE, VALUE AND LINE

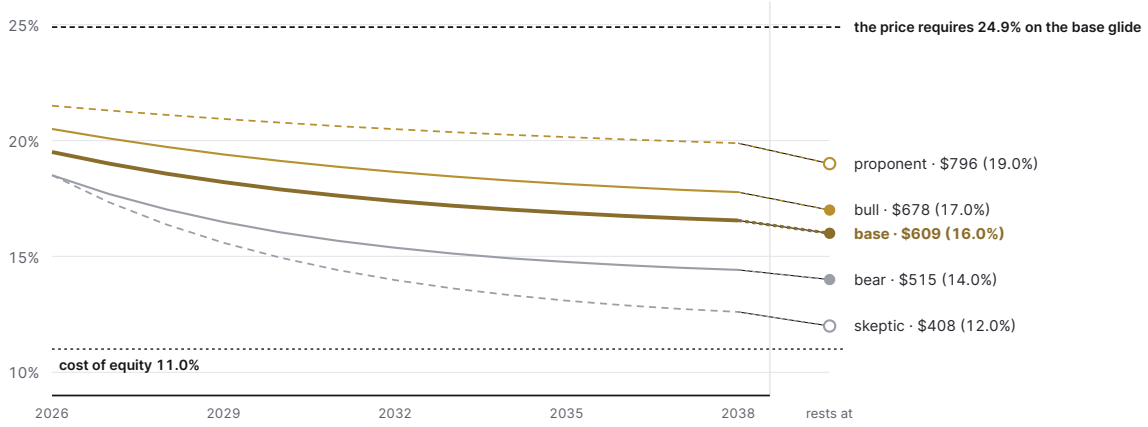
The fade, the value, and the line

$602 probability-weighted fair value a share, 1.76× tangible book; bear $515, base $609, bull $678; the proponent's case $796, the skeptic's $408

The fade. §4 sets where the return comes to rest; the model turns the path there into a value. It values tangible book plus the present value of the excess return — (ROTCE − CoE) × tangible book — each year for twelve years, discounted mid-year, plus a terminal value on the excess that remains. Book grows at the terminal growth rate each year, so the payout is whatever earnings exceed that growth: about 84% next year and 81% at the terminal in the base case. The house sets the start at 19.5%, below this year's 22.4%, because the base case has the market normalizing from a top-quartile 2026 toward its trend (the base story below); from there the return glides to a resting level on a half-life: 19.5% to **16.0%** on a 4.5-year half-life in the base case (19.0% in 2027, 18.6% in 2028, 18.2% in 2029), 18.5% to 14.0% in the bear, 20.5% to 17.0% in the bull. On the base glide, the resting level the price requires is 24.9% (21.3% / 28.7% at a 10% / 12% cost of equity).

EXHIBIT 4 — FIVE GLIDE PATHS AND WHAT EACH IS WORTH

Return on tangible equity in each scenario, 2026–2038, where it comes to rest, and what it is worth



Weighted fair value $602 (25 / 50 / 25); price $892. Dashed gold = the proponent's case at a 10.7% cost of equity; dashed grey = the skeptic's at 12.0%; both unweighted.

How to read it. Return on tangible equity on the left scale, years 2026 to 2038 along the bottom. The three solid lines are the bear (grey), base (dark gold, heavier) and bull (gold) paths through the twelve explicit years; the dashed gold line is the proponent's case and the dashed grey line the skeptic's, both unweighted. Past 2038 each path is carried by a short dotted segment to a dot in the "rests at" column, its resting level, labelled with the value a share it produces and the level itself. The lower dashed black line is the cost of equity, 11.0%; the upper is the resting return the price requires on the base glide. Compare the dots in the resting column against the two dashed lines; the one thing it shows is that the price's requirement on the base glide sits above every path; the proponent's case, on its own 10.7% cost of equity and slower glide, is worth $796 against the $892 price, and the skeptic's, at 12.0%, $408.

	BEAR	BASE	BULL	PROPONENT'S CASE (UNWEIGHTED)	SKEPTIC'S CASE (UNWEIGHTED)
Weight	25%	50%	25%	—	—
Return in 2027	17.7%	19.0%	20.1%	21.3%	17.3%
Resting (terminal) return	14.0%	16.0%	17.0%	19.0%	12.0%
Half-life, years	3.5	4.5	5.5	8	3.5
Terminal growth	2.5%	3.0%	3.5%	3.5%	2.5%
Cost of equity	11.0%	11.0%	11.0%	10.7%	12.0%
Terminal payout	82%	81%	79%	82%	79%
Equity value	$152bn	$180bn	$200bn	$235bn	$121bn
Per share	**$515**	**$609**	**$678**	**$796**	**$408**
Price to tangible book	1.51×	1.78×	1.99×	2.33×	1.20×
Terminal value, share of total	9%	15%	18%	23%	0%

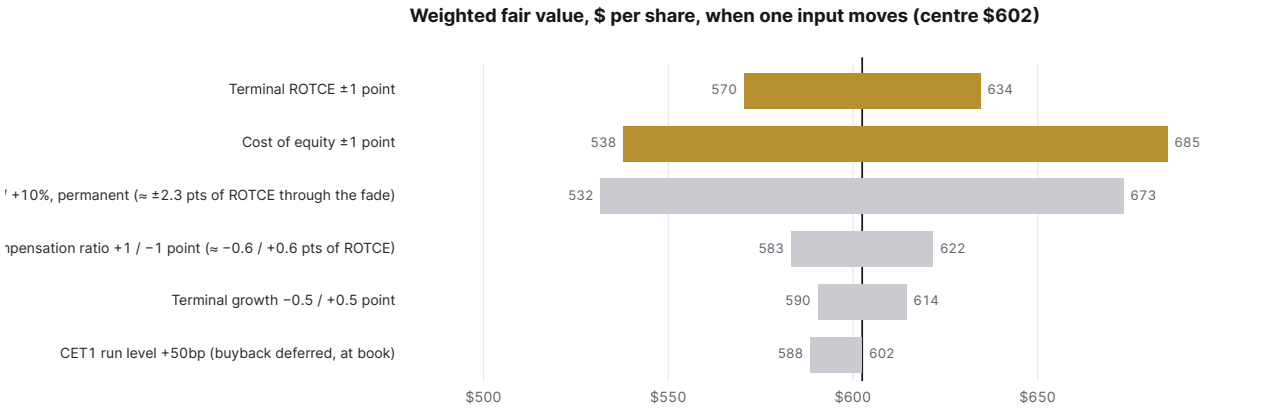
The stories. Bear: the share gains reverse to the eleven-year average, the market returns to trend and the G-SIB surcharge steps to 4.5%; the return rests at 14.0%, still above the cost of equity. Base: the franchise keeps what it has won, less the give-back its sensitivity predicts, with the market at trend, costs at the year's incremental margin, incentive fees at their average and the 2028 surcharge step; 16.0%, the middle of the band. Bull: the share holds with no give-back as the market normalizes, financing keeps more than 40% of markets revenue and the surcharge step is 4.0%; 17.0%, the top of the band. The proponent's case takes the chief executive's "structurally … meaningfully uplifted" at its strongest, about 19% in perpetuity at the Blume beta, and reaches $796; the skeptic's, its mirror, reverses every share gain since 2017 to rest at 12.0% on a 12.0% cost of equity and reaches $408. **Weighted fair value $602**, 32.5% below the last trade; the weights are a judgment, stated.

Three choices bind every case. Terminal growth is capped at 4%, because a bank's book cannot outgrow nominal GDP in perpetuity, and no case uses more than 3.5%. The share count is held at 295.6 million, because buybacks are one form of the payout the model already values: a buyback above fair value transfers value from the remaining holders to the sellers

rather than creating it, so a shrinking count at today's price is not a source of per-share value the model omits. And the half-lives shorten from bull to bear (5.5, 4.5, 3.5 years), because a return that is mostly cycle reverts faster than one that is mostly franchise, which is what each case asserts.

Sensitivities. Each point of resting return is worth about $32 a share ($570 / $634 at ±1 point); each point of cost of equity $65–83 ($685 at 10%, $538 at 12%). Among the operating inputs, revenue in Global Banking & Markets — 74% of revenue, 74% of attributed equity, 85% of nine-month pre-tax earnings — is where value moves: a 10% permanent shortfall is about 2.3 points of return at the year's incremental margin, roughly $70 a share. A point on the compensation ratio is about 0.6 points of return, $20; a CET1 run level 50 basis points higher defers $4 billion of buyback, about $14. Rates barely register: the firm's own table puts ±100 basis points at +$56 million and −$226 million of twelve-month net revenue, so a 25 basis-point cut is $57 million.

EXHIBIT 5 — WHAT MOVES THE NUMBER



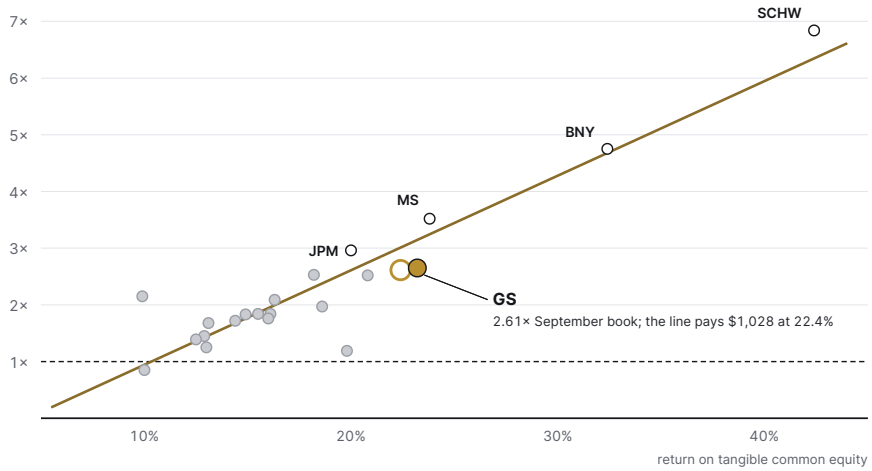
How to read it. Each horizontal bar is the probability-weighted fair value a share, read along the bottom, when one input is moved by the amount in its label and everything else is held; the vertical line is the central value, $602. Gold bars are the two inputs that define the model (terminal return, cost of equity); grey bars are the operating and capital inputs expressed through the return. Compare bar lengths; the one thing it shows is that the cost of equity and a permanent change in Global Banking & Markets revenue carry the number, ahead of a point on the terminal return, and the rest is second order.

The line. Part 1 of the bank thematic found that the market prices the large banks on one line, price to tangible book against return on tangible equity. Re-priced to 13 October across the twenty-one banks the JPMorgan valuation uses — Part 1's twelve less BlackRock, plus ten large regionals and custodians — it is `P/TBV = −0.73 + 0.167 × ROTCE` (R^2 0.88), with a bank worth book at a 10.3% return. Through the nineteen without Schwab and BNY, whose tangible books are a tenth of their balance sheets, it is `0.02 + 0.119 × ROTCE` (R^2 0.53), book at 8.2%.

EXHIBIT 6 — PRICE TO TANGIBLE BOOK AGAINST RETURN ON TANGIBLE EQUITY, TWENTY-ONE BANKS, WITH GOLDMAN ON THE LINE

Price to tangible book against return on tangible common equity, twenty-one large US banks, 13 October

Fitted line: P/TBV = −0.73 + 0.167 × ROTCE in percentage points (R^2 0.88); a bank is worth book at a 10.3% return



What the line pays GS

at 16.0%, base resting return
$663 a share

at 17.0%, top of the target
$720 a share

at 20.5%, third quarter
$920 a share

at 22.4%, nine months
$1,028 a share

Price $892, 2.61× book

Residual vs the line: −0.40×
(nine months; −0.49× second quarter)
Bank-only line: −0.07×

Gold dot = GS on its second-quarter basis, in the fit; gold ring = GS on its nine-month return, not fitted. Grey = the other banks; JPM and MS (two of the markets rivals in §1) and SCHW and BNY (left out of the bank-only line) are labelled.

How to read it. One dot per company: return on tangible common equity along the bottom (first half of 2026 annualized, on second-quarter tangible book), price to tangible book up the side at 13 October prices. The gold line is the least-squares fit through the twenty-one; its equation and fit are printed above the plot. Goldman is gold, shown twice and joined: the filled dot is its second-quarter basis, used in the fit; the ring is its nine-month return (22.4%), not fitted. Grey dots are the other banks; four are labelled — JPMorgan and Morgan Stanley, two of the markets rivals in §1, and Schwab and BNY, the two the bank-only line leaves out. The side table gives the value a share the line pays Goldman at four levels of return. Compare Goldman's dots with the line, and the side table with the price; the one thing it shows is that the line pays about the price at this quarter's return and about three-quarters of it at the base case's resting return.

At this quarter's 20.5% the line pays **$920 a share**, 3% above the price: a residual of −0.08× of tangible book, $28 a share. At the nine-month 22.4% it pays $1,028, a residual of −0.40× (−0.49× on the second-quarter basis; −0.07× and −0.13× on the bank-only line). At the base case's resting 16.0% it pays $663, and at the top of management's band, 17%, $720. Against the nine-month return the market applies the markets-house discount it has applied for a decade, about $135–165 a share on the full line and almost nothing on the bank-only line; against the quarter's return the discount is $28. Two claims, kept apart: the relative one — Goldman is a little cheap to its peers — is true and small; the absolute one — the whole group is priced on one year's returns — is where the house disagrees, and it carries the number.

THE PARTS

The parts, priced separately

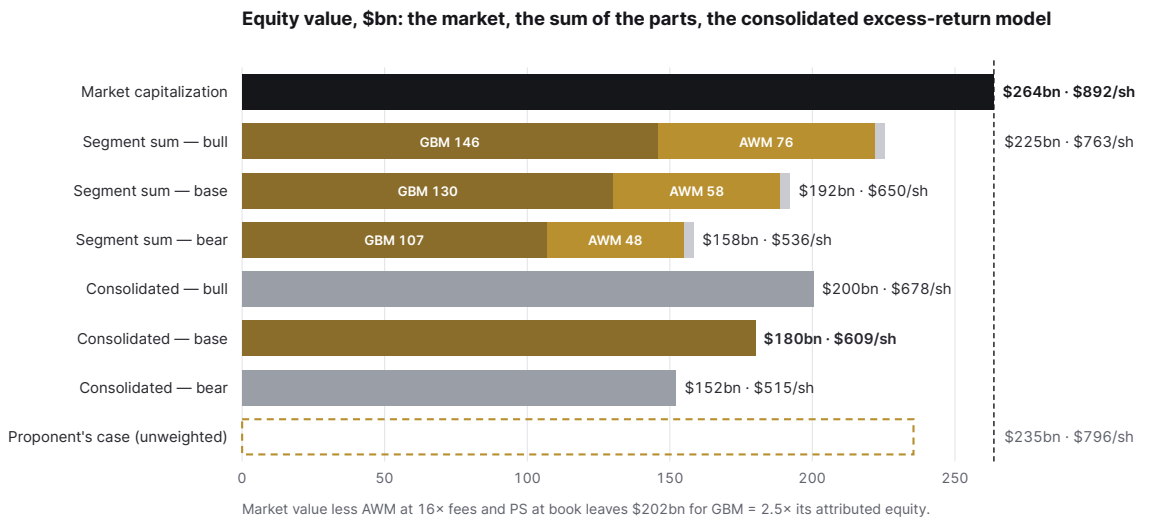
$650 the sum of the parts a share, base case: GBM on excess return at 12%, AWM at 16× fee earnings, Platform Solutions at book — 7% above the consolidated base value, 27% below the market

Goldman's segments are different businesses, so each is priced on its own terms and the sum is reconciled to the whole. **Global Banking & Markets** is valued on excess return on its $81.5 billion of attributed equity at a 12.0% cost of equity, a point above the firm's and the rate on the two-year beta of 1.41. Its return fades from about 20% to 13.5 / 16.0 / 17.0%, §4's keep-the-share arithmetic run on the segment's own equity (13.6 / 16.1 / 17.2% before rounding), which makes it worth $107 / $130 / $146 billion, 1.31 / 1.60 / 1.79 times its equity.

Asset & Wealth Management is valued on fee earnings — management fees at the third-quarter run-rate and private banking at the nine-month run-rate, plus $0.6 billion of normalized incentive fees, at the segment's 24% nine-month pre-

tax margin (about 27% in the bull case, halfway to the 30% target) and the firm's tax rate — times 13 / 16 / 19, a band from the traditional asset managers to BlackRock's 25, plus the $2.8 billion of attributed equity behind the historical principal investments ($6.0 billion of investments at year-end): $48 / $58 / $76 billion. Each multiple carries an implied perpetual growth rate, at the firm's cost of equity and an 80% payout, of 4.6 / 5.7 / 6.5%, above the 4% ceiling the consolidated model obeys; at the 10% cost of equity a proponent would apply to a fee stream it is 3.6 / 4.8 / 5.6%, and the bear multiple fits under the ceiling. The segment carries the firm's cost of equity rather than Global Banking & Markets' extra point because its management fees are the least volatile line the firm has (Exhibit 2). **Platform Solutions** is carried at its $3.5 billion of attributed equity: the Apple Card is held for sale and the transfer completes in about two years; the segment lost $95 million before tax in the quarter.

EXHIBIT 7 — THE MARKET, THE PARTS, THE WHOLE



How to read it. Horizontal bars in billions of dollars of equity value along the bottom. The black bar is the market capitalization at the last trade. The next three bars are the sum of the parts in the bull, base and bear cases, each split into Global Banking & Markets (dark gold), Asset & Wealth Management (gold) and Platform Solutions (pale, at book); the following three are the consolidated excess-return value in the same three cases; the dashed outline is the proponent's case. Each bar carries its total and its value a share. Compare the segment bars with the consolidated bars at the same case, and both with the black bar; the one thing it shows is that the parts come out 8% above the whole weighted, and 4–13% above it case by case, and that the market sits above both by the value of Global Banking & Markets at two and a half times its equity.

The reconciliation. Weighted, the parts sum to $192 billion ($650 a share) against the consolidated $178 billion ($602): a spread of $14 billion, 7% of the parts and 8% of the whole, with three named sources. The largest is the AWM multiple: an asset-manager price-to-earnings embeds 4–6% perpetual growth, which the consolidated model caps at 4%. Valued instead on excess return on its own equity (its return fading from 16% to 13 / 16 / 18%), AWM is worth $34 / $40 / $45 billion and the parts sum to $144 / $174 / $194 billion — 3–5% below the consolidated value. The whole spread, in other words, is the asset-manager multiple on a segment that is 15% of nine-month pre-tax earnings. The second source is the base: the segments start from attributed common equity, which includes $9.2 billion of goodwill and intangibles, while the consolidated model starts from tangible equity; at equal earnings the two converge over time. The third is Platform Solutions at book against its negative return inside the consolidated fade, worth about a billion. **The spread to the market is in one place.** Market capitalization of $264 billion, less AWM at 16 times ($58 billion) and Platform Solutions ($3.5 billion), leaves **$202 billion for Global Banking & Markets — 2.5 times its equity**. At a 12% cost of equity and 3% growth that is a perpetual return of about 25% on that equity, against 16.4% in 2025, 13.8% in 2024, 11.3% in 2023, 23.5% in the top-quartile first nine months of 2026, and 16.1% with its position kept, less its predicted give-back, and the market at trend.

CAPITAL AND DEPOSITS

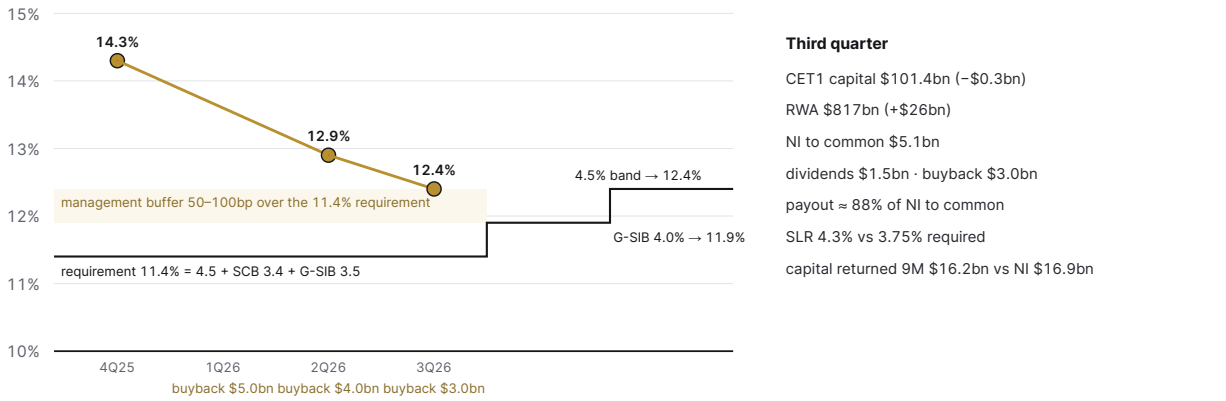
Capital, and the deposits

12.4% standardized CET1 at 30 September, exactly 100 basis points over the 11.4% requirement — the top of management's 50–100 basis-point buffer — after RWA grew $26bn in the quarter

The map. The value in §5 assumes a payout the capital rules must allow. Common equity tier 1 of $101.4 billion on $817 billion of standardized risk-weighted assets is 12.4% (12.9% at June, 14.3% at the end of 2025). The requirement is 11.4%: the 4.5% minimum, a 3.4% stress capital buffer the Federal Reserve froze through September 2027, and a 3.5% G-SIB surcharge. The surcharge steps to **4.0% in 2028**, taking the requirement to 11.9%, and the firm says it is "within the 4.5% G-SIB surcharge range" on first-half data, which would take it to 12.4% from 2029 at the earliest, pending the Fed's recalibration proposal; management expects the Basel and G-SIB proposals together, if adopted as proposed, would not "materially change" its requirements. The supplementary leverage ratio is 4.3% against a 3.75% requirement, and the chief financial officer says "the largest … balance sheet extension is behind us." Global core liquid assets are $574 billion, 26% of assets. At the insured bank, GS Bank USA, CET1 is 13.5%, and its securities marks were under 1% of equity at June, the smallest of the markets-house and money-center banks Part 1 measured; the holding company's marks arrive with the 10-Q in November.

EXHIBIT 8 — THE RATIO, THE REQUIREMENT'S PATH, AND THE BUYBACK

Standardized CET1 ratio (gold) against the requirement and its announced path (steps), and quarterly buybacks



Buyback per quarter from the capital-returned line of each release less the common dividend. The 2029 step is conditional on the firm's own "within the 4.5% range" estimate a

How to read it. Gold dots and line: the standardized CET1 ratio at each quarter-end from December 2025 to September 2026, in percent on the left scale. The black stepped line is the requirement: 11.4% now, 11.9% from 2028 when the G-SIB surcharge rises to 4.0%, 12.4% from 2029 if the firm's estimate that it is in the 4.5% band holds. The shaded band is management's 50–100 basis-point operating buffer over today's requirement. Beneath the quarters are the common-share buybacks, in billions of dollars, taken from each release's capital-returned line less the dividend. The side table lists the third quarter's capital figures. Compare the gold line's slope with the steps ahead of it; the one thing it shows is that the ratio has fallen to the top of the buffer while the floor beneath it is scheduled to rise.

What the buyback is doing. Capital returned to common shareholders was $6.4 billion in the first quarter, $5.4 billion in the second and $4.5 billion in the third — $16.2 billion against $16.9 billion of net income to common, a 96% payout — with the buyback itself slowing from about $5.0 billion to $4.0 billion to $3.0 billion as risk-weighted assets grew $90 billion in nine months, 12%. In the third quarter, retained earnings after the dividend were $3.6 billion against a $3.0 billion buyback, so capital was flat ($101.4 billion from $101.7 billion); the ratio fell about 45 basis points because risk-weighted assets grew $26 billion, worth about 40 of them. The dividend is $5.00 a share, up 25% on the year and from $2.00 five years ago.

What the model needs. The base case pays out about $16 billion in 2027 and 81% of earnings at the terminal, with book growing 3% a year — less than the firm is paying now. That fits management's order of use, "clients first" and then returns to shareholders, within the buffer only if risk-weighted assets grow at the pace of retained capital rather than the 17%

annualized of 2026's first nine months. A valuation that assumed this year's payout and this year's balance-sheet growth together would be inconsistent; this one assumes neither.

Where the AI-financing risk sits. Management describes Goldman's role in the AI build-out as advising, structuring, underwriting and distributing, with the private investment-grade funds it manages for clients taking part and certain financing structures kept on its own balance sheet. The filings do not separate AI or data-center exposure, so the lending lines are the proxies. At June, undrawn commitments to investment-grade borrowers had risen 30% in six months, to $201 billion from $155 billion, while those to lower-rated borrowers were roughly flat, $81 billion to $83 billion; commercial commitments held for sale, the pipeline Goldman carries until it syndicates, were about $8 billion, down from $12 billion (the rest of the held-for-sale total is the Apple Card's credit lines). At September, funded corporate loans were $39 billion, about two-thirds of them below investment grade at June, and other collateralized loans — to investment funds secured on their investors' commitments, to clients warehousing assets, and other secured lending — were $113 billion. The filings do not say how much of either reaches AI-related borrowers, and both books are secured or relationship lending, so losses turn on collateral and syndication as well as on the borrower. The investment-grade jump fits large financings for highly rated companies, the hyperscalers among them, but the 10-Q ties these commitments mainly to relationship lending and to investment-banking activity, generally contingent acquisition financing, which a strong deal year explains as well. The third-quarter 10-Q in early November updates the commitments.

Deposits: underpaid, and does it matter here? The sector argument is real, and the house makes it in its JPMorgan valuation: $2.08 trillion of interest-bearing deposits paid 2.18% against a 4.23% three-month bill, with $655 billion paying nothing, a gap worth about $70 billion a year to that one bank. It does not transfer to Goldman. Its $568 billion of deposits are consumer savings ($230 billion of Marcus and Apple balances, priced to the market), private-bank balances ($105 billion), transaction-banking operating balances ($93 billion), brokered certificates ($52 billion), sweep balances ($42 billion) and other ($46 billion). Substantially all of it is interest-bearing, and the insured bank's all-in cost of funds was 3.59% at June against a 3.50–3.75% funds target. Goldman's deposit risk is a funding cost that rises with the funds rate, not flight: the money is already paid the market rate. The run question is the other kind — 43% of the bank's deposits are uninsured — and Part 1's run test put Goldman's cover at 1.18 times those deposits from cash, reverse repo and available-for-sale securities, third-highest of eleven. The capital-flight argument belongs to banks that pay 0.07% on checking; it is not a lever in this valuation.

DIGITAL ASSETS

Digital assets: adopt the rail, expand the market, join the coin, announce none

"very small" management's own sizing of its tokenized activity today — bonds, money-market funds and real estate on the firm's own rails, "small and at the margin"

What the firm has built, and what it could change. Asked on the call whether tokenization, agentic trading, decentralized-finance vaults and prediction markets "nip at the core" of the markets business, the chief executive described a firm that has built "our own rails for digital assets" (the GS DAP platform), tokenized bonds and money-market funds, took part in the July launch of DTCC's tokenization service, and was "publicly supportive of clarity" — on the house's reading, the CLARITY market-structure bill, which failed cloture in September. Its own sizing is "very small at this point". Goldman is one of the twenty-one institutions behind a jointly issued dollar stablecoin targeted for the first half of 2027, and it has announced no coin of its own. Management's frame is the electronification of equities, a change that in the end widened the firm's market. The stablecoin threat to a bank is the loss of underpaid deposits, and Goldman has none to lose (§7). What tokenized collateral and always-on settlement would change is the plumbing of its largest growth engine — financing, $12.7 billion of revenue this year, $9.2 billion of it equities financing, on balances that settle and re-margin daily — toward lower cost and higher velocity: where the financing franchise could widen, and where a new market structure could price it down. The model takes no view on either. The observables are the Treasury rule on affiliate yield, the consortium coin's terms in 2027, and the first time the firm discloses a tokenized-financing revenue line.

WHAT WOULD CHANGE IT

What would change our view

What would change our view. The house would move toward the proponent's case — a resting return of 18% or more, about $670 a share on the base glide — on any of:

- fiscal 2027 return on tangible equity at or above 20.1% (the bull path's first year) with the five banks' trading and investment-banking revenue at or below its 2026 level, so that the franchise rather than the market is carrying the return — provisionally on the January 2028 print, confirmed if fiscal 2028 repeats it;
- Goldman's share of the five-bank pool rising in the next year the pool shrinks, the test its share failed in 2017 and 2023 and passed in 2022 — with a sensitivity above one the cycle alone predicts a loss in such a year, so a gain is the franchise beating its own cycle;
- in the first year after 2026 in which both the five-bank pool and Goldman's net revenues fall, operating expenses falling by at least half the percentage fall in net revenues, so that costs flex with revenue;
- a disclosed or computable stand-alone return on the durable lines three points or more above the cost of equity;
- the capital package finalized with Goldman's 2028 G-SIB surcharge held at 3.5%, so that the requirement stays 11.4% and about $4 billion of capital is freed;
- the ten-year Treasury below 4.2% for two quarters, at which the cost of equity is 10% and the return the price requires falls to 21.3%.

It would move toward the bear case — a resting return at or below 14%, about $545 a share on the base glide — on any of:

- fiscal 2027 return on tangible equity at or below 17.7% (the bear path's first year) with the five banks' trading and investment-banking revenue at or above its 2026 level, so that the shortfall is not the cycle — provisionally in January 2028, confirmed if fiscal 2028 repeats it, with a miss in a shrinking market scored base and re-read on fiscal 2028;
- Goldman's share of the five-bank pool below its 2015–25 average of 21.6% in any fiscal year, the bear case's own anchor;
- in the first year after 2026 in which both the five-bank pool and Goldman's net revenues fall, operating expenses falling by less than a quarter of the percentage fall in net revenues, or rising; 2022, when they fell 2.4% against a 20.2% fall in revenue, would score here;
- financing revenue down year on year for two consecutive quarters while equity market capitalization rises;
- a quarter-end CET1 ratio below 11.9% with repurchases continuing above $2 billion a quarter.

On the parts, the house would raise the Asset & Wealth Management multiple toward 19 if the segment's fiscal 2027 pre-tax margin reaches 27% and its return 15%, and lower it toward 13 if the margin prints at or below 24%.

What the house will score, and when. Nine dated tests, each with a rule for silence; the first, fourth, fifth, sixth, eighth and ninth score conditions in the reversal block above. This is a valuation, not an event pair; Part 2 of the bank thematic scores Part 1's tripwires on this print.

1. *The first year of the fade:* fiscal 2027 return on tangible equity, company basis, from the January 2028 release — at or above 20.1% scores the bull path, at or below 17.7% the bear, between them the base, each read with the cycle control above and provisional until fiscal 2028; always printed.
2. *The durable share:* fiscal 2026 durable revenues at or above 45% of net revenues and fiscal 2027 durable growth of 8% or more, both together, fire for the franchise; a share below 42% fires for beta; always printed.
3. *The market-beta segment:* Global Banking & Markets' fiscal 2027 return on attributed equity at or above 17% (bull) or at or below 13.5% (bear); always printed.
4. *The buffer:* a quarter-end standardized CET1 below 11.9% while repurchases exceed $2 billion in the quarter; both print every quarter.

5. *The requirement's path:* the G-SIB recalibration finalized by 31 December 2026 with Goldman's 2028 surcharge at or below 3.5% reverses the path; above 3.5% is as modeled; not finalized is scored "slipped" and re-read at the 10-K.
6. *The asset-manager multiple:* Asset & Wealth Management's fiscal 2027 pre-tax margin and return (27% and 15% raise the band; 24% or below lowers it); always printed.
7. *The exit:* the Apple Card transfer closed by 31 December 2027 with Platform Solutions' attributed equity released below $1 billion; if not, it is scored "slipped" and the segment stays at book with its losses.
8. *The share:* Goldman's fiscal 2027 share of the five-bank pool, from the five 10-Ks by 31 March 2028 on this note's definitions — at or above its fiscal 2026 share, computed the same way, with the pool at or below its 2026 level scores the franchise case, because the base expects some give-back as the pool normalizes; below 21.6% scores the bear case in any pool; otherwise the base; always computable.
9. *The cost test:* in the first fiscal year after 2026 in which both the pool and Goldman's net revenues fall, operating expenses, which exclude credit provisions, falling by at least half the percentage fall in net revenues scores the franchise case; falling by less than a quarter of it, or rising, scores the bear case, as 2022 (expenses −2.4% against revenue −20.2%) and 2023 (+10.7% against −2.3%, in the year that carried the consumer exit) would have; between, the base. A year in which only the pool falls is not scored, and the test waits for the next; no qualifying year by fiscal 2029 is scored "not yet tested", and headcount against revenue is printed each year instead.

The dates. Part 2 of the bank thematic, which follows this note, reads the third-quarter prints of the twelve, Morgan Stanley's among them. Goldman's third-quarter 10-Q in early November carries the marks, Level-3 assets and the segment equity detail; the 13F deadline is 16 November; the FDIC's third-quarter profile and the Fed's Financial Stability Report arrive in late November. The dividend is paid 30 December. Management is "hopeful" of the Basel and G-SIB finalizations by year-end. Fourth-quarter and full-year results are due 19 January 2027, confirmed by the company. The current stress capital buffer runs to 30 September 2027 and a new one follows the 2027 stress test; the G-SIB surcharge steps on 1 January 2028; the Apple Card transfer completes around the end of 2027.

What the note cannot settle. Whether 2026 is the top quartile or the new normal, which only the next several years' returns can show; whether Goldman's share gains continue, and whether the five banks together are gaining on the European banks, which a five-bank pool cannot see; the durable lines' true margin, which the firm does not publish; and whether the market's cost of equity for the group is the 11.0% built here or nearer the 9.9% at which the proponent's case reaches the price.

SOURCES

Sources and Method

The company. Form 8-K of 13 October 2026 (accession 0000886982-26-000529): Exhibit 99.1, the third-quarter earnings release — segment net revenues by line, the consolidated statements of earnings, the condensed balance sheet, capital ratios and risk-weighted assets, assets under supervision, capital returned, basic and diluted shares; Exhibit 99.2, the results presentation — segment P&L and attributed equity, segment returns, alternatives detail, loans by type, deposits by channel, the ROTE and tangible-book reconciliation (tangible common equity $100.9 billion, 295.6 million basic shares, $341.43). The second-, first- and fourth-quarter-2025 8-Ks (14 July, 13 April, 15 January 2026) for the eight-quarter segment series; the 24 June 2026 8-K (stress-test statement). Form 10-Q for June 2026 (Note 20 capital requirements; the earnings-at-risk table; the G-SIB surcharge path; the Apple Card held-for-sale disclosure). Form 10-K for 2025 (segment operating results 2023–25; the through-the-cycle targets; the Asset & Wealth Management targets; historical principal investments; capital returned in 2025). SEC XBRL company facts for net income to common, equity, preferred stock, goodwill, intangibles, revenues and compensation, fiscal 2011–2025. Forms 3, 4 and 5 filed in the trailing twelve months, GS as issuer (61 filings). The 2025 shareholder letter (the Investor Day scorecard; the durable-revenue definition, footnote 2; the risk paragraph). The 13 October earnings call, from two independent transcriptions (Benzinga and TradingKey); the company posts no transcript, quotations are kept to words the two agree on, and every figure quoted from the call that also appears in the release or presentation was checked against it. The 14 July call from an independent transcription (Webull).

Regulators and the system. Federal Reserve, "Large Bank Capital Requirements," June 2026 (Goldman's 4.5 / 3.4 / 3.5 / 11.4%); FOMC statement of 16 September 2026 and the projections table published with it (the dot-plot median that defines the first of the three rate paths); FDIC Quarterly Banking Profile, second quarter 2026, and FDIC BankFind Call Report fields for Goldman Sachs Bank USA (CERT 33124), Morgan Stanley Bank and JPMorgan Chase Bank at June 2026, labelled bank-level throughout; FRED daily Treasury yields (DGS10 on 8 October), the funds target, SOFR.

Pricing. Goldman at its 13 October 2026 settled close of $891.91 (Robinhood; identical to the regular-session last trade); the peers at the 13 October 14:22 ET last trades the JPMorgan valuation's regression rows carry, three of them (BNY, Northern Trust, Ally) at 9 October; the prior settled close; weekly bars from October 2021 for the betas (ordinary least squares of weekly log returns against the S&P 500 ETF, 262 weeks; 105 weeks for the two-year); fundamentals for shares outstanding and the 52-week range. Consensus earnings as carried by Robinhood on 13 October.

The five-bank pool. Each bank's 10-Ks for fiscal 2015–2025, every year taken from the latest filing that prints it: Goldman (FICC, Equities, investment-banking fees and their advisory, equity and debt underwriting parts), JPMorgan (Fixed Income Markets, Equity Markets and the investment-banking product table), Morgan Stanley (Institutional Securities fixed income, equity and investment banking), Bank of America (sales and trading excluding net DVA; total investment-banking fees, before the self-led deduction) and Citigroup (Fixed Income Markets, Equity Markets, Banking investment-banking fees; its recast historical supplements of 2 March 2022, 12 April 2022 and 3 April 2026). The 2026 year to date is from the second-quarter 10-Qs and supplements and the

third-quarter earnings supplements filed 13–14 October 2026. Financing and prime brokerage sit inside FICC and equities at all five. Every value is archived with its filing, accession and table row.

Peers. The twenty-one-bank set and rows of the JPMorgan valuation's regression (Part 1's tangible common equity net of preferred and first-half 2026 annualized returns, SEC XBRL, Citigroup from its 10-Q reconciliation), with Goldman's point set at this note's price on its second-quarter tangible equity; ordinary least squares, twenty-one points, and nineteen without Schwab and BNY. Goldman's nine-month point is shown and not fitted. Part 1's own eleven-name line (−0.98 + 0.182 × ROTCE, R^2 0.98, book at 10.9%) is the continuity check. The asset-manager multiples for the AWM band are stated as a band from the traditional managers to BlackRock's trailing multiple in Part 1's table; the comparable set is not computed in the house comps engine.

Method. Excess return on tangible common equity: value = $TBV_0 + \Sigma_t$ (ROTCE_t − CoE) × TBV_(t−1) / (1 + CoE)^(t−½) over twelve years + (ROTCE_T − CoE) × TBV_T × (1 + g) / (CoE − g) / (1 + CoE)^12, with TBV_t = TBV_(t−1) × (1 + g) and payout = earnings − g × TBV_(t−1); ROTCE follows ROTCE_t = R_T + (R_0 − R_T) × 0.5^(t / half-life). Per-share values divide by 295.6 million basic shares. Cost of equity by CAPM as stated, one rate across scenarios, shown on a ±1-point grid. The reverse valuation solves the terminal return that reproduces the price on the base glide, and the steady-state identity P/TBV = (ROTCE − g)/(CoE − g) at g = 3%. The segment cross-check values Global Banking & Markets on the same model on its attributed common equity at a cost of equity one point higher, Asset & Wealth Management at a multiple of fee earnings (management fees and private banking at run-rate plus $0.6 billion of incentive fees, at the nine-month pre-tax margin and 20.4% tax) plus the historical principal investments' attributed equity, and Platform Solutions at attributed equity; the implied perpetual growth of each multiple is g = (M × CoE − payout)/(M + payout) at an 80% payout. The durable-line contribution allocates the firm's nine-month compensation, non-compensation and provision expense, tax and preferred dividends to each line group in proportion to revenue; it is an allocation, not a disclosure. The peer test: Goldman's share is its revenue over the five banks' sum, by line and year; each year-on-year change is measured on a pair of values printed on the same basis, using the old-basis filing wherever a bank changed a definition. Sensitivity and drift come from regressing the log growth of Goldman's revenue on the log growth of the pool, with standard errors from the same fit; over the full window 2016–25 the drift is −0.2% ± 2.1 a year for all trading and investment banking (sensitivity 1.22), −0.1% ± 2.6 for trading (1.24), +1.0% ± 1.9 for equities (0.99) and −1.2% ± 2.0 for advisory (1.15). The normalization chains the pool back from 2025 on those same-basis growth rates, fits a log-linear trend to 2015–25, sets 2026 at 2025 times the nine-month growth, and values Goldman's trading and investment-banking revenue at the trend pool with its 2026 share; the revenue gap carries the nine-month incremental pre-tax margin (pre-tax earnings up $6,055 million on revenue up $11,415 million), the 20.4% tax rate and $100.5 billion of average tangible equity, incentive fees return to their seven-quarter average, and tangible equity rises with the CET1 requirement after the 2028 surcharge step. The base case's resting return is that result rounded to the half point. The skeptic's case runs the normalization's 2017-low anchor, 12.0%, on the bear's fade and growth at the cost of equity on the two-year beta, 12.0%, as the proponent's runs its 19% at the Blume beta's 10.7%. The capital-consistency gate (`check_fin`) passed with no failures; its three warnings — that the 13, 16 and 19 times multiples imply growth above the 4% terminal ceiling — are accepted and are the point of §6. Every number is produced by archived scripts (`model.py` , `data/segments_analysis.py` , `data/beta.py` , `data/parse_releases.py` , `data/pull_companyfacts.py` , and for the peers `data/peer_share/pull_*.py` , `analysis.py` , `normalize.py`), and the model is downloadable beside this note.

Limitations. Securities marks and Level-3 assets are second-quarter and bank-level until the 10-Q. Quotations from the July call rest on one independent transcription (Webull); those from the October call are confirmed in two. Short interest is not included. The peer line uses second-quarter bases for twenty of the twenty-one, intraday 13 October prices for eighteen and 9 October prices for three. It is a second-quarter cross-section by design; the peers' third-quarter results, Morgan Stanley's among them, are read in Part 2 of the bank thematic. The S&P 500 Financials benchmark is not used. The five-bank pool is a US-peer measure, not the global fee pool, so a gain within it can include the five together gaining on the European banks; the 2026 year to date rests on furnished earnings supplements until the third-quarter 10-Qs; Citigroup's investment-banking split is on a revenue basis for 2015–20 and for the 2026 year to date; and revenue share does not measure risk management, which would need trading-loss days and value-at-risk. Three definitional changes are not bridged: JPMorgan's move of $5.6 billion of loans into Fixed Income Markets in January 2025; the 2018 revenue-recognition change at Morgan Stanley (about $283 million, $90 million of it advisory), Goldman and Bank of America; and Goldman's 2015–16 FICC, which excluded warehouse and structured lending. Citigroup's figures for 2017–19 and 2021–25 come from its recast supplements rather than its 10-Ks. The parent-company Pillar 3 disclosure for June 2026 was not retrieved; the 10-Q's capital note supplies the requirement components.

Digital assets. The twenty-one institutions' stablecoin announcement of 1 September 2026 (Santander press release; formation planned for the second half of 2026, subject to closing conditions) and the Senate's 15 September 2026 cloture vote on the motion to proceed to the CLARITY Act, H.R. 3633, rejected 49–50 (Senate roll call vote 234).

Prior TON618 research. US Banking Before the Print (October 2026), Part 1 of the bank thematic: the sector backdrop, the six business models, the pricing line and the paper-loss analysis this note cites and does not redo. Context, never a prerequisite.

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